FALLEN EMPIRES

The Grinds Deal Sheet: a Shark Tank deal that died, and the company that didn't

Fallen Empires · After the Tank. Facts below come from the sources listed at the end. Observations about building a company, not investment advice.

The deal at a glance

- **Company:** Grinds, chewable coffee pouches. **Founders:** Matt Canepa and Pat Pezet.
- **Shark Tank US, Season 4.**
- **The ask:** $75,000 for 10% of the company. That values Grinds at $750,000 ($75,000 ÷ 10%).
- **Kevin O'Leary:** offered a loan instead of equity.
- **Robert Herjavec and Daymond John:** offered the full $75,000 for 15%, a valuation of $500,000 ($75,000 ÷ 15%). The founders accepted on camera.
- **After the show:** the deal fell apart in negotiation (Forbes, 2016). The reasons were not published.
- **Sales:** $1.35 million in the year the episode aired; about $4 million expected in 2016 (Forbes, 2016).

3 things worth noticing

1. **Demand came before the Sharks.** The company was already selling before it pitched; the deal did not create the business.
2. **A TV deal is not a closed deal.** Due diligence and negotiation happen after the cameras stop. Forbes found that a large share of Shark Tank deals do not close as shown.
3. **Exposure moved sales.** Sales jumped in the year the episode aired, with or without the investment.

2 mistakes to avoid

1. **Counting the TV handshake as money in the bank.** Plan the next steps as if the deal might not close.
2. **Giving up equity you don't need to give.** Accepting 15% instead of 10% meant a lower valuation ($500,000 vs $750,000).

Glossary

- **Valuation:** what the company is worth, implied by the deal: amount ÷ share. Here, $75,000 ÷ 10% = $750,000.
- **Equity:** the share of the company an investor gets in return for money.
- **Due diligence:** the investor's check of the books, contracts and claims before the money moves.

Sources

- Forbes, "We Fact-Checked Seven Seasons Of Shark Tank Deals. Here Are The Results.", Oct 21, 2016: https://www.forbes.com/sites/emilycanal/2016/10/21/about-72-of-deals-that-happen-on-shark-tank-dont-turn-out-as-seen-on-tv/
- Entrepreneur, "Ex-Ballplayers Offer Coffee's Answer to Chew": https://www.entrepreneur.com/starting-a-business/ex-ballplayers-offer-coffees-answer-to-chew/220239
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